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(b) Discount columns: Debit the concerned personal account mentioned on the credit side and the credit is to Discount received A/c with the amount mentioned in the discount received column. Credit the concerned personal account mentioned on the debit side and the debit is for Discount allowed A/c with the amount entered in the discount allowed column.

7.9 Three column cash book (Cash book with cash, discount and bank column)



Student activity

Think: Is it safe and convenient to carry on the business transactions only in cash?

A three column cash book includes three amount columns on both sides, i.e., cash, bank and discount. This cash book is prepared in the same way as simple and double column cash books are prepared. The transactions which increase the cash and bank balance are recorded on the debit side of the cash and bank columns respectively. Opening balance of cash and favourable bank balance appear as the first item on the debit side of the three column cash book in case of existing business. If the business is a new one, capital contributed in cash and/or bank deposit appear as the first item on the debit side.

All the transactions which decrease the cash and bank balance are recorded in the cash and bank columns on the credit side. The balancing figures will be the closing balances of cash and bank. Cash will always have debit balance. Bank balance may be debit or credit depending on whether the balance is favourable or unfavourable respectively. If there is any discount allowed it is entered in the discount column on the debit side against the particular account. Similarly, if there is any discount received, it is entered in the discount column on the credit side.

7.9.1. Format

Format of three column cash book is as follows:

Dr. Cash book with cash, discount and bank columns or three column cash book Cr.

Date	Receipts	L.F	Amount `			Date	Payments	L.F.	Amount `		
			Discount	Cash	Bank				Discount	Cash	Bank

Tutorial note

(i) If a business entity has more than one bank account, columns may be provided in the cash book for each bank account separately.

(ii) Treatment of cheques: In addition to cash dealings every business may use cheques as a means of payment. For the purpose of accounting, cheques received are treated as cash received. When cheques received are banked on the same day the amount is to be directly debited to the bank account. When payments is made by cheque, the bank account is credited.